

PRICE ACTION MADNESS

PART FIVE!

Starting 1900 CT tonight



Theo**TRADE**

Goals for Tonight

- Finishing the Price Action Series
- Covering Price Patterns tonight
- Questions

Flash Cards

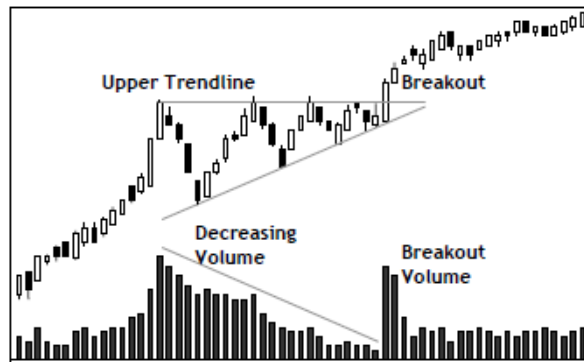
Bullish Ascending Triangle Pattern

An Ascending Triangle Pattern is a continuation pattern, usually occurring after a large run up in price. After a brief price consolidation in the "Triangle" with decreasing volume, the trend will usually continue in the same direction as the previous trend. The price target for the next run up in price is approximately the same vertical distance as the open end of the Triangle.

Success Rate: 68%, which improves to 98% if you confirm the pattern with a close above the upside breakout.

Duration: Triangles can appear over any timeframe, from intraday patterns to patterns taking several months to form.

Volume: Decreasing volume through the Triangle, with heavy volume required to break out of the Upper Trend Line.

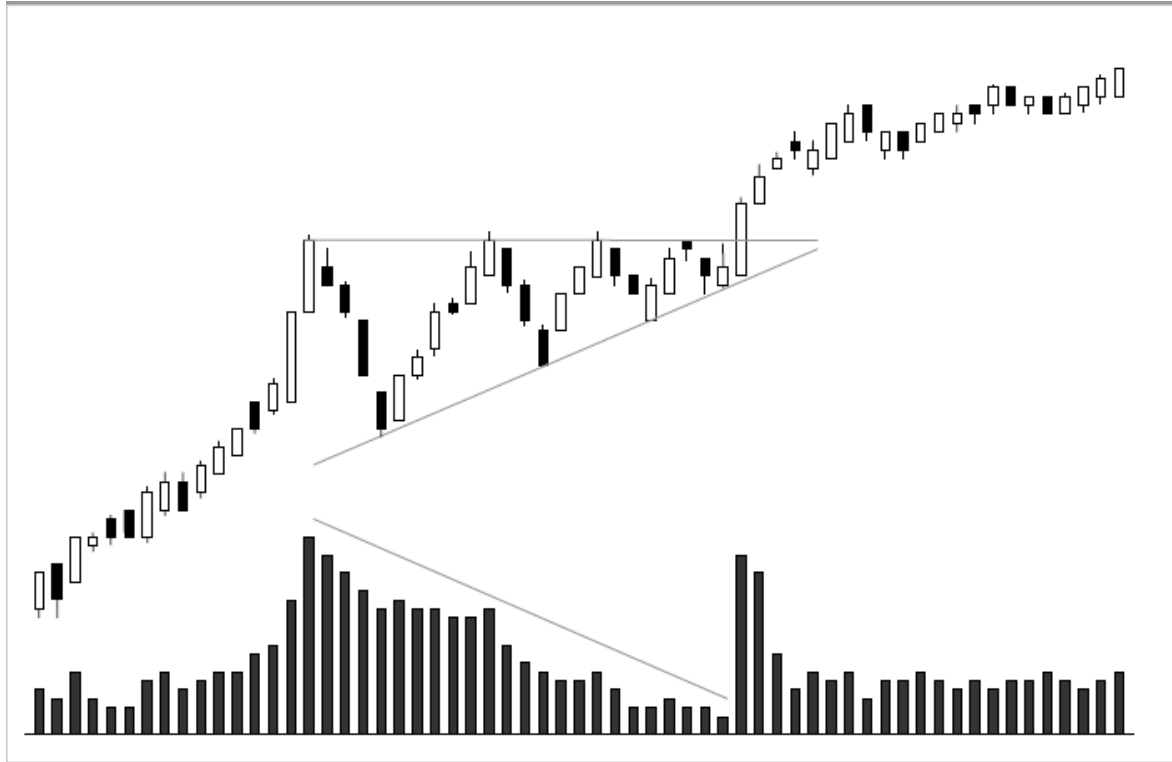


Risks: False breakouts are common at the Upper Trendline. Price will break above the Upper Trendline of the Triangle, and usually return back down into the pattern within the day (if not the hour!) if the Breakout is false. Greater than 150% of normal volume MUST accompany a valid Breakout.

Trading the Pattern: Keep track of the Upper Trendline of the Triangle pattern. Traders should enter long when this Upper Trendline is pierced on a valid Breakout on heavy volume. The key to trading this pattern is to avoid the false Breakout.

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Flash Cards



Please keep in mind that these patterns are never going to be perfect in real markets; it's more important to understand what is happening to the price and the supply/demand imbalance that moves price.

Bullish Patterns

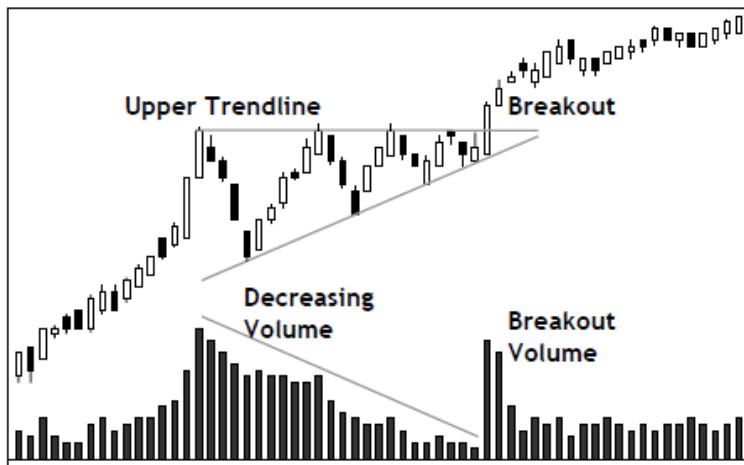
Bullish Ascending Triangle Pattern

An Ascending Triangle Pattern is a continuation pattern, usually occurring after a large run up in price. After a brief price consolidation in the "Triangle" with decreasing volume, the trend will usually continue in the same direction as the previous trend. The price target for the next run up in price is approximately the same vertical distance as the open end of the Triangle.

Success Rate: 68%, which improves to 98% if you confirm the pattern with a close above the upside breakout.

Duration: Triangles can appear over any timeframe, from intraday patterns to patterns taking several months to form.

Volume: Decreasing volume through the Triangle, with heavy volume required to break out of the Upper Trend Line.



Risks: False breakouts are common at the Upper Trendline. Price will break above the Upper Trendline of the Triangle, and usually return back down into the pattern within the day (if not the hour!) if the Breakout is false. Greater than 150% of normal volume **MUST** accompany a valid Breakout.

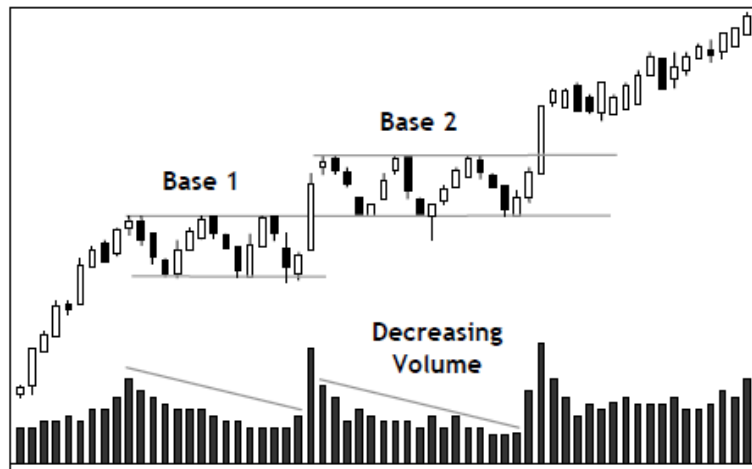
Trading the Pattern: Keep track of the Upper Trendline of the Triangle pattern. Traders should enter long when this Upper Trendline is pierced on a valid Breakout on heavy volume. The key to trading this pattern is to avoid the false Breakout.

Base On a Base Pattern

A Base On a Base Pattern is a continuation pattern, usually occurring when a strong stock breaks out of its first base but is unable to advance due to Bearish conditions in the general Market. When the overall Bearish trend in the Market ends, this stock is more apt to show leadership with large gains.

Success Rate: No probability assigned.

Duration: Base On a Base patterns can stay in place for months while the larger Market corrects, as long as the stock's fundamentals support it.



Volume: Like a Flat Base or Bull Flag, volume will decrease within each base, and heavy volume will be necessary to break the price out of that base.

Risks: If the stock's fundamentals or sentiment are not strong enough, a Bear Market will pull the stock back down into the previous base.

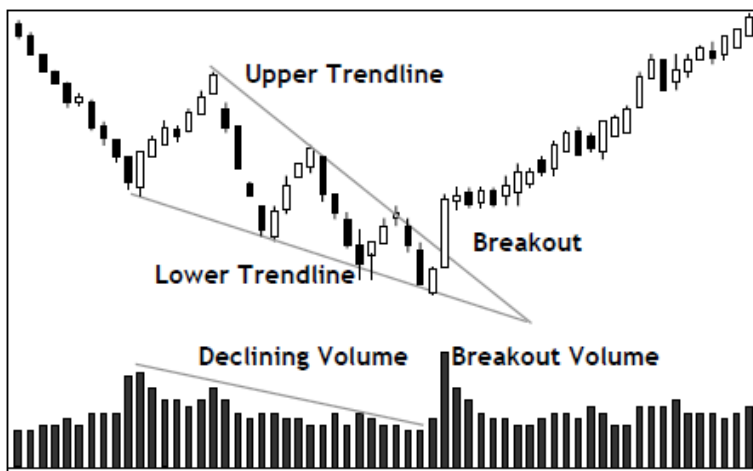
Trading the Pattern: With an underlying Bear Market in place, there are few large gains to be made until the Market swings into Bull mode again. This pattern may be placed on a Watchlist to anticipate a Bull Market's return. If you trade it, exit immediately if the stock enters a prior base.

Bullish Falling Wedge Pattern

A Bullish Falling Wedge Pattern can be a reversal or continuation pattern, depending on whether the previous trend was a downtrend (as shown here) or an uptrend. In a Falling Wedge, price action will bounce between two converging, downward-sloping trendlines until it breaks out to the upside on heavy volume. This pattern combines similar characteristics of the downward-sloping price action of a Bull Flag pattern with the oscillating price action of a Symmetrical Triangle formation.

Success Rate: 90%, rising to 98% if you wait for the upside breakout.

Duration: Falling Wedge formations can take up to three months to form, but need a minimum duration of 3 weeks.



Volume: Decreasing during the formation of the wedge, with intermediate volume spikes at the boundaries during false breakouts. Breakout volume must be 150% of average volume to exit the pattern.

Risks: Valid formations have a minimum of five “bounces” at the Lower and Upper Trendlines. (this example has seven) Formations with fewer bounces may not provide the necessary gain to the upside.

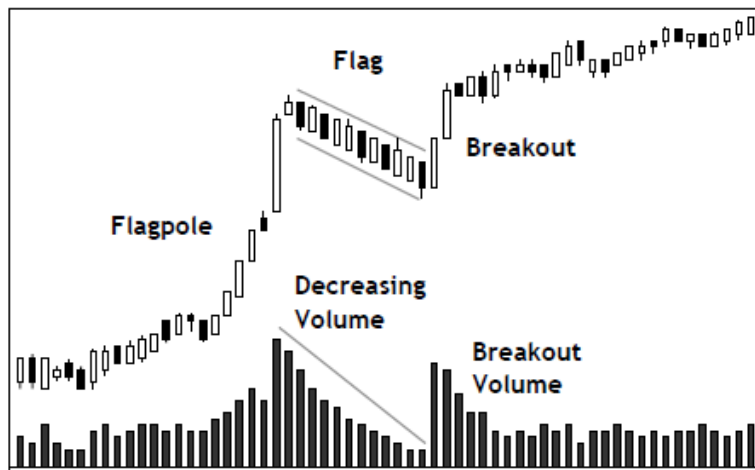
Trading the Pattern: Traders should wait for the pattern to break out above the Upper Trendline before entering a bullish position. More powerful breakouts occur between 50% and 80% of the distance to the apex.

Bull Flag Pattern

A Bull Flag Pattern is a continuation pattern, usually occurring after a large run up in price. (referred to as the “Flagpole”) After a brief price consolidation in the “Flag” with decreasing volume, the trend will usually continue in the same direction as the previous trend. The price target for the next run up in price is approximately the same vertical distance as the previous Flagpole.

Success Rate: 87% in uptrend, if the Breakout is confirmed.

Duration: Valid Bull Flags generally breakout to the upside within 12 days. Formations longer than this generally resolve into Symmetrical Triangles or Wedges.



Volume: decreasing volume through the Flag, with heavy volume required for the Flag Breakout.

Risks: False Breakouts are common; price will rise above the Upper Trendline of the Flag, and return back down into the Flag pattern within the day if greater than 150% of normal volume does not accompany the Breakout.

Trading the Pattern: Keep track of the Upper Trendline of the Flag pattern. Traders should enter long when this Upper Trendline is pierced on a valid Breakout on heavy volume.

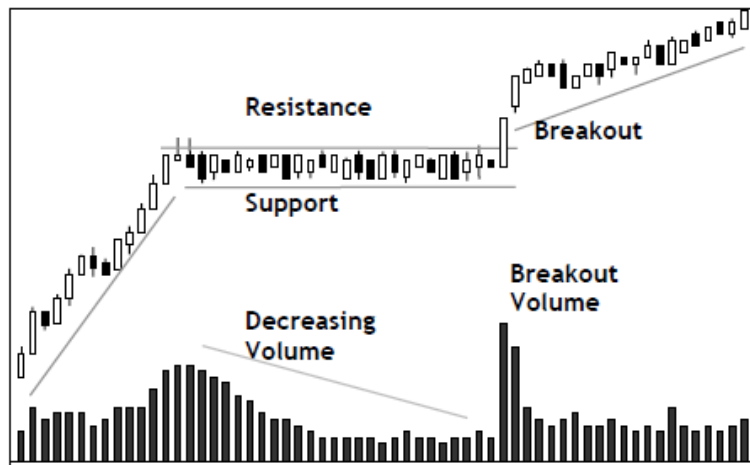
Bullish Flat Base Pattern

A Bullish Flat Base Pattern is a continuation pattern, usually occurring after an extended upward move in price. Price action will move in a very flat, sideways pattern after establishing a resistance level; this pattern is also referred to as a “high, tight flag.” The unique characteristic of this pattern is the extended, nearly horizontal price action with decreasing volume before the breakout.

Success Rate: 68%, rising to 83% if one waits for confirmation on the Breakout above the Resistance level.

Duration: This pattern can take up to three months to consolidate.

Volume: Volume will dry up after hitting the Resistance level and the price consolidates horizontally. Greater than 150% of normal volume is normally required to break out of the pattern to the upside.



Risks: As with any horizontal base pattern, false breakouts accompanied by weak volume are common.

Trading the Pattern: Identify the Support and Resistance lines of the pattern. False breakouts to the upside are common at the Resistance line, creating “bull traps” for those traders not patient enough to wait for the required volume confirmation to break out of the pattern. Breakouts should cause an explosive price movement out of the pattern, on average a 63% gain in price from the Resistance level!

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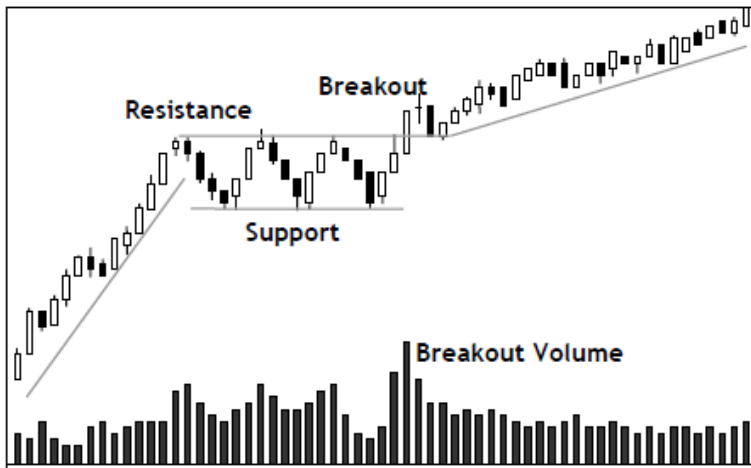
Bullish Rectangle Pattern

A Bullish Rectangle Pattern is a common continuation pattern, usually occurring after an extended upward move in price. Price action will move sideways between Resistance and Support levels that define the rectangle; this is also known as a “horizontal trading range.”

Success Rate: 68%, rising to 83% if one waits for confirmation on the Breakout above the Resistance level.

Duration: This pattern can be found in any timeframe, from intraday to several months.

Volume: Higher volume will accompany each reversal within the pattern, with 150% of normal volume required for a Breakout to the upside.



Risks: At least four points are required to create a Rectangle. If the Rectangle and Support/Resistance lines are not identified, the risk is that this pattern could instead be a simple reversal, or a Double Top.

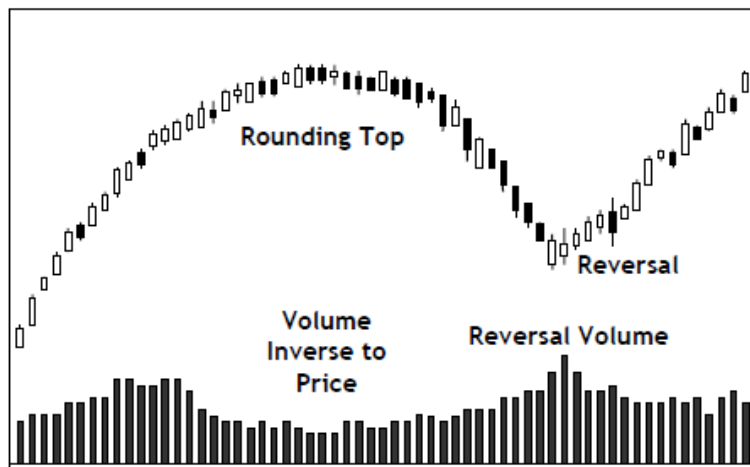
Trading the Pattern: Identify the Support and Resistance lines of the pattern. False breakouts to the upside are common at the Resistance line. These create “bull traps” for those traders not patient enough to wait for the required volume, confirming the Breakout of the pattern. It is also common to see the price action come back down to test the former Resistance level after a Breakout.

Rounding Top Pattern

The Rounding Top Pattern is a bullish consolidation pattern, occurring after an uptrend. Prices will gradually lose momentum on the uptrend, and will transition to a downtrend. After a certain point in the downtrend, price will reverse to the upside.

Success Rate: 81%. Performance will improve to 94% if you confirm the reversal to the upside.

Duration: An average formation takes about 6 months to fully build, and break out to the upside.



Volume: Volume typically follows an inverse relationship to the price pattern, with a large spike as price breaks out to the upside.

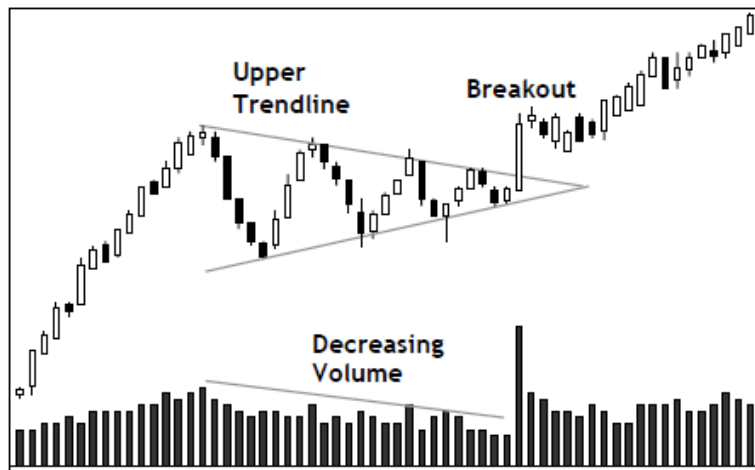
Risks: If price does not break out to the upside correctly, then the formation will act as an Inverse Cup and Handle, which is bearish.

Trading the Pattern: Since the entry point is relatively arbitrary, all traders should confirm the upside Reversal after the Rounding Top with heavy volume as it moves up in price.

Bullish Symmetrical Triangle Pattern

A Bullish Symmetrical Triangle Pattern is a continuation pattern, usually occurring after a large increase in price. After a price consolidation in the “Symmetrical Triangle” with decreasing volume, the trend will usually continue in the same direction as the previous trend. The price target for the next decrease in price is approximately the same vertical distance as the open end of the Symmetrical Triangle. Symmetrical Triangles are longer in duration than Pennants, although they have similar-looking characteristics.

Success Rate: 94%, making it one of the most reliable formations.



Duration: Bullish Symmetrical Triangle formations take a minimum of 3 weeks to form.

Volume: Decreasing during the formation of the Symmetrical Triangle. Heavy volume confirms a valid breakout of the Symmetrical Triangle.

Risks: Premature breakouts at the Upper Trendline are very common and usually happen on light volume.

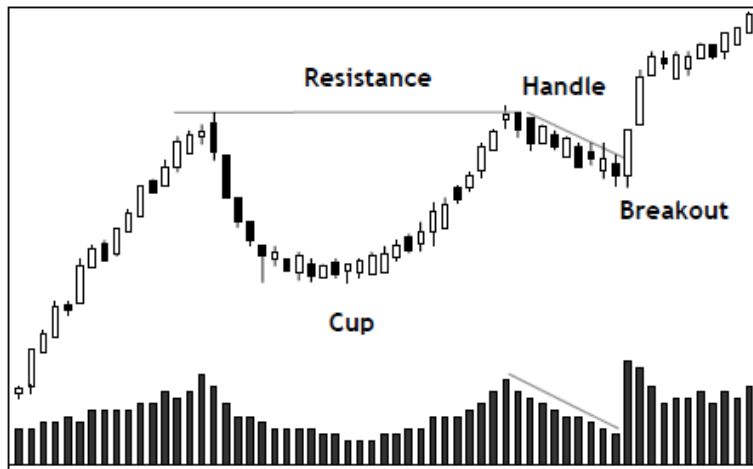
Trading the Pattern: Keep track of the Upper Trendline of the Symmetrical Triangle pattern. Traders should enter long when the Upper Trendline is pierced on a valid breakout on heavy volume. Entering early provides little benefit since the price movement is small prior to a valid Breakout.

Cup With Handle Pattern

A Cup With Handle Pattern is one of the most common consolidation patterns, usually occurring after an extended move in price. Price action will move slowly down, then up in a U-shaped “Cup”. Once the prior resistance level on the left side of the Cup is met on the right side, prices will drift lower on decreasing volume until the upside breakout occurs.

Success Rate: 74%, rising to 90% if one waits for confirmation of the Handle breakout to the upside.

Duration: This pattern usually takes at least 7 weeks to form, but some can take over a year to fully form. The handle should take at least a week to form.



Volume: Volume will follow the “Cup”, and decline within the “Handle”. 150% of normal volume is required to “break out” of the Handle to the upside.

Risks: If the formation of the cup is too steep, it can fail to create enough of an ownership base and instead it may create a Double Top reversal pattern. Handles should not decline from the Cup Resistance level by more than 10-15% before attempting a breakout.

Trading the Pattern: Identify the top resistance line of the Cup, and the subsequent resistance line of the Handle. The price target will be approximately the depth of the Cup to the upside past the Cup resistance level. Cups with a higher right lip outperform those with a higher left lip.

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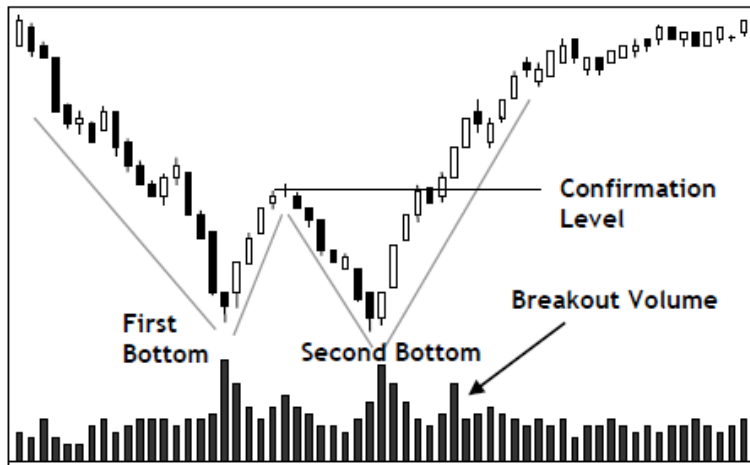
Double Bottom Pattern

A Double Bottom Pattern is a bullish reversal pattern, usually occurring after an extended downward move in price. After a reversal at the First Bottom accompanied by high volume, momentum will be lost at the Confirmation Level and the price will decline again, resulting in the Second Bottom. A second reversal will be accompanied again by high volume, and a secondary volume peak will accompany the stock as it breaks above the Confirmation Level.

Success Rate: 36%, rising to 97% if one waits for price to rise above the Confirmation level.

Duration: Bottoms occurring closer together are stronger than those Bottoms timed further apart.

Volume: High volume at each bottom reversal, with a secondary volume spike as the pattern “confirms” by breaking above the Confirmation Level.



Risks: By not confirming the breakout after the Second Bottom, the pattern may just become another bearish channeling pattern, rising and falling between Support and Resistance.

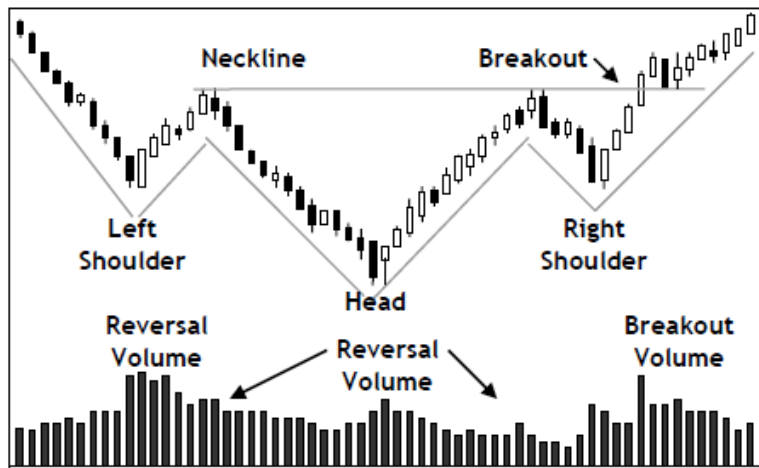
Trading the Pattern: Identify the Confirmation Level, and confirm that prices have closed above that price before entering a bullish position. On good Double Bottom patterns, the Second Bottom will undercut the First Bottom.

Inverted Head and Shoulders Pattern

An Inverted Head and Shoulders Pattern is a reversal pattern, with the most reliable formations starting during a downtrend. A strong downtrend with volume is reversed at the Left Shoulder, and buyers drive the price up to the Neckline. Sellers drive the price down to the Head on lighter volume, and buyers drive it back up to the Neckline again. Any remaining sellers left in the market drive the price weakly down to the Right Shoulder, where buyers now take control on higher volume and drive the price past the Neckline on the upside Breakout.

Success Rate: 95%, making this one of the most reliable trading patterns.

Duration: Inverted Head and Shoulders formations can take up to three months to form.



Volume: Increasing volume on the Left Shoulder, but lower volume as the Head and Right Shoulder are built. Heavy volume as the price exits the Neckline to the upside.

Risks: Unless the pattern is well-formed, with a lower Head than Left Shoulder, a bearish rectangle formation may actually be forming, which is a continuation (and not a reversal) pattern.

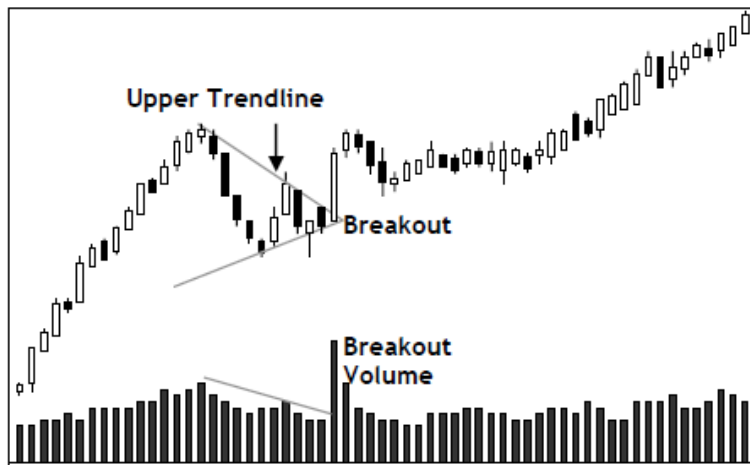
Trading the Pattern: Conservative traders will wait for the pattern to break out above the neckline before entering a bullish position. Aggressive traders that have correctly identified the pattern may enter earlier, after the Right Shoulder has formed.

Bullish Pennant Pattern

A Bullish Pennant Pattern is a continuation pattern, usually occurring after a large increase in price. After a brief price consolidation in the “Pennant” with decreasing volume, the trend will usually continue in the same direction as the previous trend. The price target for the next increase in price is approximately the same vertical distance as the open end of the Pennant. Pennants are shorter in duration than Symmetrical Triangles, and quickly converge or “coil” to the center of the Pennant.

Success Rate: 81%.

Duration: Bullish Pennant formations are usually short, (average 10 days) with a maximum duration of 3 weeks.



Volume: Decreasing during the formation of the Pennant, with heavy volume required to break out of the Pennant.

Risks: If there is not a quick, steep rise in price prior to this formation, this may be an invalid price pattern. Avoid the false Breakout by confirming the exit with heavy volume.

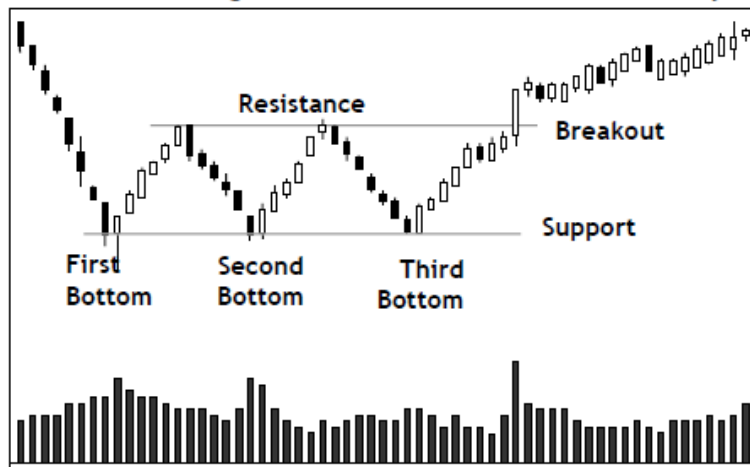
Trading the Pattern: Keep track of the Upper Trendline of the Pennant pattern. Traders should enter long when this Upper Trendline is pierced on a valid breakout on heavy volume.

Triple Bottom Pattern

The Triple Bottom Pattern is a bullish reversal pattern, occurring after a downtrend. After a reversal at the First Bottom accompanied by high volume, momentum will be lost and the price will decline again, resulting in the Second Bottom. A second reversal will be accompanied again by high volume, followed by a third reversal on lower volume to the Third Bottom. A secondary volume peak will accompany the stock as it breaks above the Resistance level of the pattern. Performance is very similar to a Double Bottom pattern.

Success Rate: 96%. This is one of the highest-performing chart patterns.

Duration: An average formation takes about 4 months to fully build, and break out to the upside.



Volume: If the volume on the Third Bottom is higher than that of the Second Bottom, higher upside gain can be expected. Typical volume is the highest on the First Bottom, and lowest on the Third Bottom.

Risks: If an upside breakout does not occur, then this pattern could become a Bearish Rectangle formation.

Trading the Pattern: Aggressive traders may go long at the Third Bottom. Conservative traders will wait to confirm the Breakout with high volume after the Third Bottom.

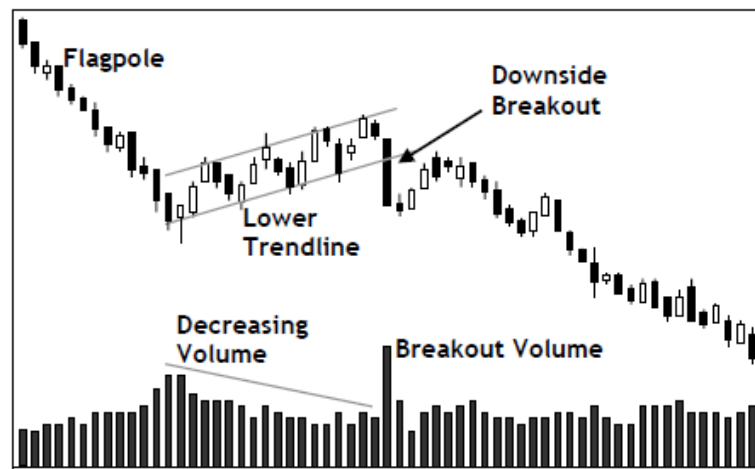
Bearish Patterns

Bear Flag Pattern

A Bear Flag Pattern is a continuation pattern, usually occurring after a large decrease in price. After a brief price consolidation in the “Flag” with decreasing volume, the trend will usually continue in the same direction as the previous trend. The price target for the next decrease in price is approximately the same vertical distance as the previous Flagpole.

Success Rate: 88%, if the Breakout is confirmed.

Duration: Bear Flag formations are usually short, with a maximum duration of 3 weeks.



Volume: Decreasing during the formation of the Flag, with heavy volume required to breakout of the Flag.

Risks: False Breakouts are common. Price will break below the lower trendline of the Flag, and usually return up into the Flag pattern within the day if the breakout is false. Greater than 150% of normal volume **MUST** accompany a valid Downside Breakout.

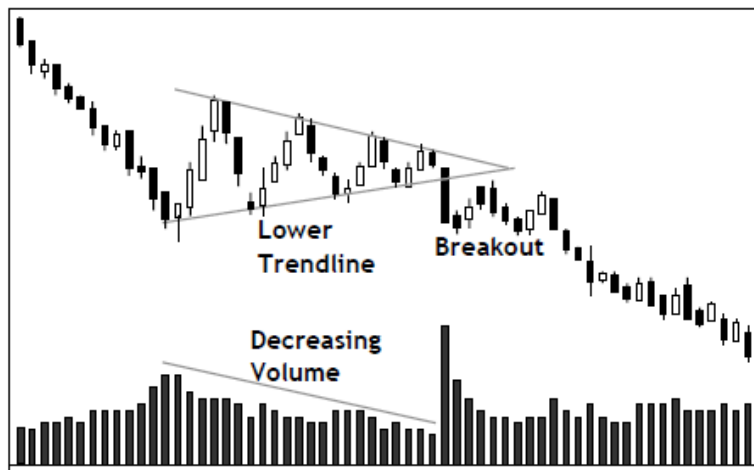
Trading the Pattern: Keep track of the lower trend line of the flag pattern. Traders should enter short when this Lower Trendline is pierced on a valid Downside Breakout on heavy volume.

Bearish Symmetrical Triangle Pattern

A Bearish Symmetrical Triangle Pattern is a continuation pattern, usually occurring after a large decrease in price. After a price consolidation in the “Symmetrical Triangle” with decreasing volume, the trend will usually continue in the same direction as the previous trend. The price target for the next decrease in price is approximately the same vertical distance as the open end of the Symmetrical Triangle.

Success Rate: 98%, making this one of the most reliable patterns.

Duration: Bearish Symmetrical Triangle formations require at least 3 weeks of price action before breaking out.



Volume: Decreasing during the formation of the Symmetrical Triangle, with heavy volume required to break out of the formation.

Risks: Premature breakouts are common and normally occur on lower volume.

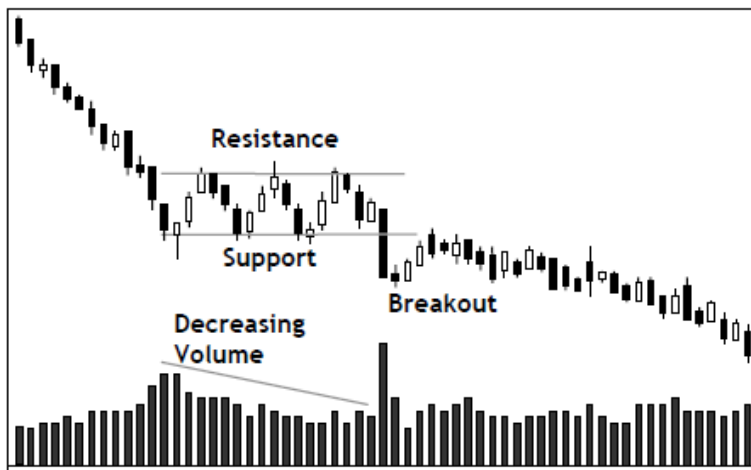
Trading the Pattern: Keep track of the Lower Trendline of the Symmetrical Triangle pattern. Active traders will enter short when this Lower trendline is pierced on a valid breakout on heavy volume. Entering before the breakout provides little benefit since the price movement is small prior to a valid breakout.

Bearish Rectangle Pattern

A Bearish Rectangle Pattern is a common continuation pattern, usually occurring after an extended downward move in price. Price action will move sideways between Resistance and Support levels that define the rectangle; this is also known as a “horizontal trading range.”

Success Rate: 88%, rising to 93% if one waits for confirmation on the Breakout below the Support level.

Duration: This pattern can be found in any timeframe, from intraday to several months in duration.



Volume: Higher volume will accompany each reversal within the pattern, with 150% of normal volume required to “break out” of the pattern to the downside.

Risks: At least four points are required to create a rectangle; if the Rectangle and Support/Resistance lines are not identified, the risk is that this pattern could instead be a simple reversal, or a Double Bottom pattern.

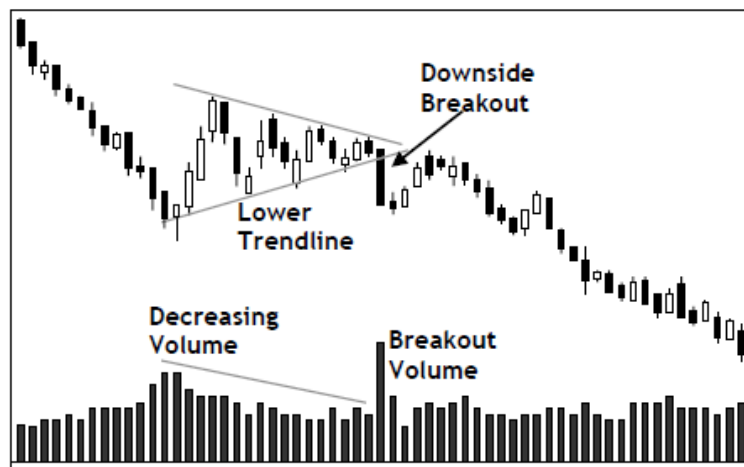
Trading the Pattern: Identify the Support and Resistance lines of the pattern. False breakouts to the downside are common at the Support line. It is also common to see the price action come back up to test the former Support level after the Breakout, as shown in this chart.

Bearish Pennant Pattern

A Bearish Pennant Pattern is a continuation pattern, usually occurring after a large decrease in price. After a brief price consolidation in the “Pennant” with decreasing volume, the trend will usually continue in the same direction as the previous trend. The price target for the next decrease in price is approximately the same vertical distance as the open end of the Pennant. Pennants are shorter in duration than Symmetrical Triangles, and quickly converge or “coil” to the center of the Pennant.

Success Rate: 66%, making this one of the less-reliable patterns.

Duration: Bearish Pennant formations are usually short, with a maximum duration of 3 weeks.



Volume: Decreasing during the formation of the Pennant, with heavy volume required to break out of the Pennant.

Risks: If there is not a quick, steep price decline prior to this formation, this may be an invalid price pattern. Avoid the false downside breakout by confirming the exit with heavy volume.

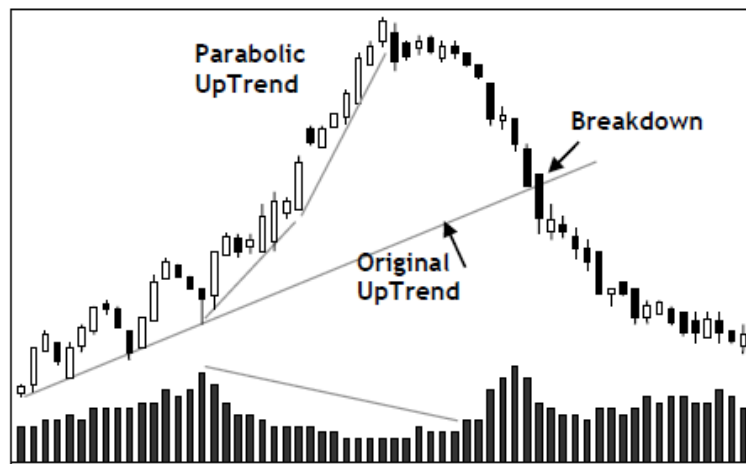
Trading the Pattern: Keep track of the Lower Trendline of the Pennant pattern. Traders should enter short when this Lower Trendline is pierced on a valid downside Breakout on heavy volume.

Bump And Run Top Pattern

A Bump and Run Top Pattern is a common reversal pattern, occurring after a stock makes a parabolic move on top of an extended uptrend. More and more buyers are attracted to the stock with few sellers willing to deal the stock, until the smart money begins to sell and supply catches up with demand. As the recent buyers of the stock at the top (known as “weak hands”) begin to panic and sell, the trend reverses and picks up speed on the way down, plunging through the original Uptrend at the Breakdown point.

Success Rate: 81%, based on correctly identifying the parabolic uptrend with decreasing volume.

Duration: Bump and Run Tops take about 7 months to form, on average, before the parabolic uptrend moves into the rounded top, where selling begins.



Volume: High at the start of the Uptrend but quickly fades. Volume will increase as the selling starts at the top of the pattern.

Risks: Parabolic uptrends can be very powerful; as long as there is volume to drive the stock price higher, the Uptrend will sustain itself. Key on the lower volume during the last part of the Uptrend.

Trading the Pattern: Aggressive traders will identify and trade short from the top of the pattern, as selling intensity increases. Conservative traders will enter short after the price undercuts the original trendline at the Breakdown point.

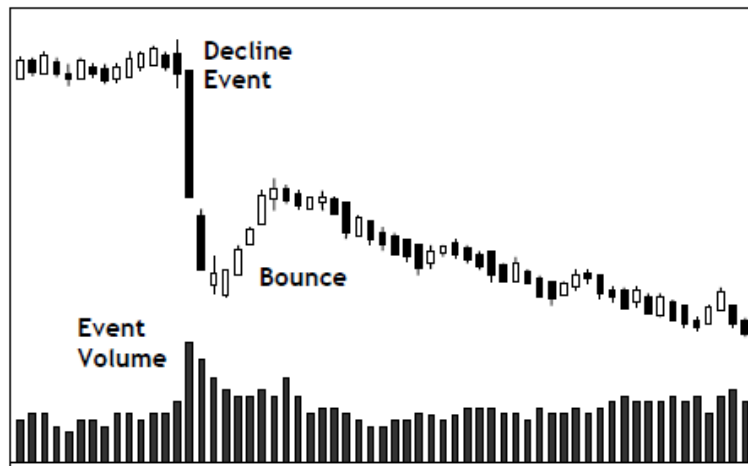
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Dead Cat Bounce Pattern

A Dead Cat Bounce Pattern is an event-based pattern, usually occurring after a large decrease in price caused by a news event. After the event-driven price decline, the price will “bounce” a small amount, before resuming its downtrend. The larger the decline due to the news event, the larger the Bounce.

Success Rate: 90%, a very reliable pattern.

Duration: 92% are over in 4 days. The average Bounce has reversed in 2 days.



Volume: Volume during the Decline Event can be expected to be massive depending on the severity of the news event. Heavy Volume will continue during the Bounce.

Risks: Quick action is the key to controlling risk with this pattern, since most of these patterns have finished bouncing to the upside after 2 days.

Trading the Pattern: Traders may choose to play a quick bullish bounce immediately after the news event, or they may choose to go short directly after the Bounce. The average Bounce gain is 19% of the decline from the news event.

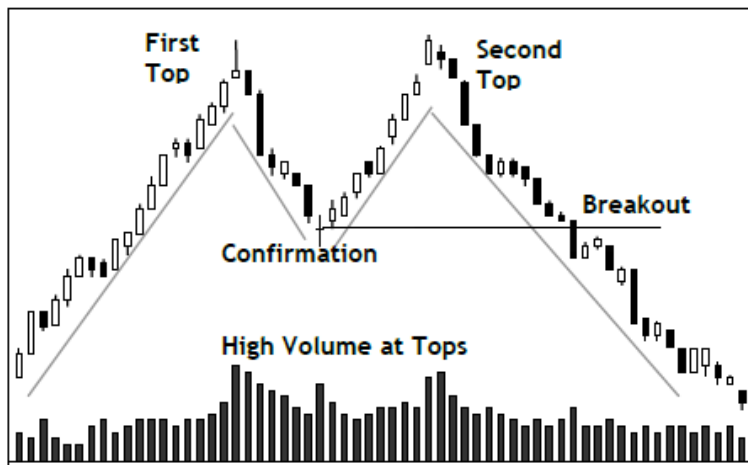
Double Top Pattern

A Double Top Pattern is a bearish reversal pattern, usually occurring after an extended upward move in price. After a reversal accompanied by high volume, an intermediate reversal will occur at the “Confirmation” level and the price will rise again, resulting in a Second Top. A second bearish reversal will be accompanied again by high volume, and a secondary volume peak will accompany the stock as it breaks below the intermediate low at the Confirmation level.

Success Rate: 35%, rising to 83% if one waits for prices to break below the Confirmation level.

Duration: Tops occurring closer together are stronger than those highs timed further apart, although a month is typical.

Volume: High volume at each Top, with a secondary volume spike as the pattern “confirms” by breaking below the Confirmation level.



Risks: By not confirming the breakout after the Second Top, the pattern may just become another bullish channeling pattern, rising and falling between support and resistance.

Trading the Pattern: Identify the Confirmation level, and confirm that prices have closed below that point before entering a bearish position. On good Double Top patterns, the Second Top will rise above the First Top.

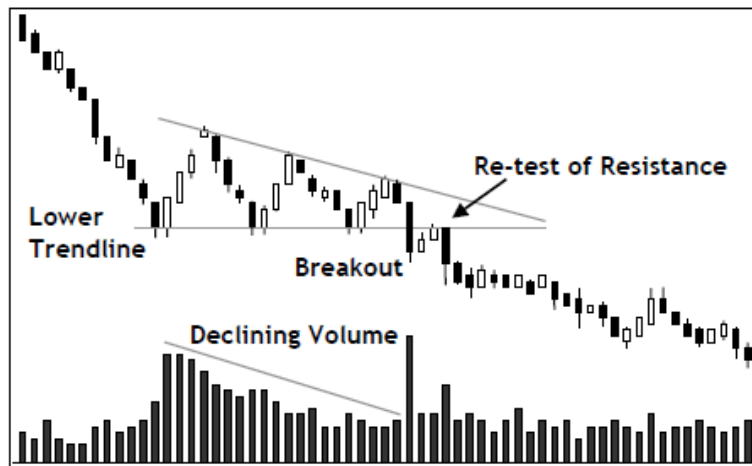
Bearish Descending Triangle Pattern

A Descending Triangle Pattern is a continuation pattern, usually occurring after a large decline in price. After a brief price consolidation in the "Triangle" with decreasing volume, the trend will usually continue in the same direction as the previous trend. The price target for the subsequent decline in price is approximately the same vertical distance as the open end of the Triangle.

Success Rate: 55%, which improves to 96% if you confirm the pattern with a close below the downside Breakout.

Duration: Triangles can appear over any timeframe, from intraday patterns to patterns taking several months to form.

Volume: decreasing volume through the Triangle, with heavy volume required to break out of the Lower Trendline.



Risks: False breakouts are common at the Lower Trendline. Price will break below the Lower Trendline of the Triangle, and usually return back into the Triangle within the day if the breakout is false. Breakouts normally require higher volume, but low-volume breakouts can occur.

Trading the Pattern: Keep track of the Lower Trendline of the Triangle pattern. Traders should enter short when the Lower Trendline is pierced on a valid breakout on heavy volume. The key to trading this pattern is to avoid the false breakout, which usually occurs due to insufficient volume. It is also common to see a re-test of the former Lower Trendline, now acting as Resistance, after a valid break.

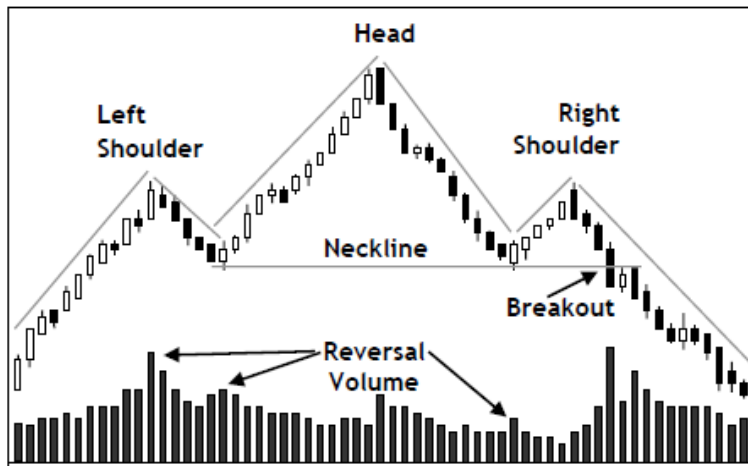
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Head and Shoulders Pattern

A Head and Shoulders Pattern is a reversal pattern, with the most reliable formations occurring during an uptrend. A strong uptrend with volume is reversed at the Left Shoulder, and sellers drive the price down to the Neckline. Buyers drive the price up to the Head on lighter volume, and sellers drive it back down to the Neckline again. Any remaining buyers left in the market drive the price weakly up to the Right Shoulder, where sellers now take control on higher volume and drive the price past the Neckline and below.

Success Rate: 93%, making this one of the most reliable trading patterns.

Duration: Head and Shoulders formations can take up to three months to form.



Volume: Increasing volume on the Left Shoulder, but lower volume as the Head and Right Shoulder are built. Heavy volume as the price exits the Neckline on the downside Breakout.

Risks: Unless the pattern is well-formed, with a higher Head than Left Shoulder, a bullish rectangle formation may actually be forming, which is a continuation (and not a reversal) pattern.

Trading the Pattern: Conservative traders will wait for the pattern to break out below the Neckline before entering a bearish position. Aggressive traders that have correctly identified the pattern may enter earlier, after the Right Shoulder has formed.

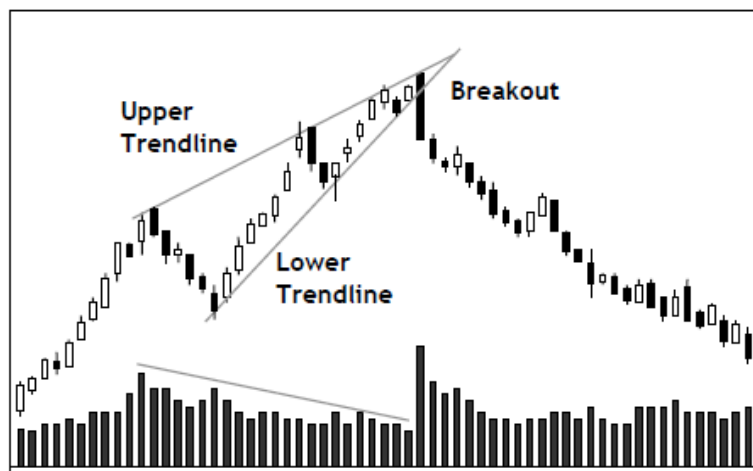
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Bearish Rising Wedge Pattern

A Bearish Rising Wedge Pattern can be a reversal or continuation pattern, depending on whether the previous trend was an uptrend (as shown here) or a downtrend. In a Rising Wedge, price action will bounce between two converging, upward-sloping trendlines until it breaks out to the downside on heavy volume. This pattern combines similar characteristics of the upward-sloping price action of a Bear Flag pattern with the oscillating price action of a Symmetrical Triangle formation.

Success Rate: 76%, rising to 94% if you wait for the downside breakout.

Duration: Rising Wedge formations can take up to three months to form, but need a minimum duration of 3 weeks.



Volume: Decreasing during the formation of the wedge, with intermediate volume spikes at the boundaries during false breakouts. This pattern is unusual in that only 38% of breakouts require high volume.

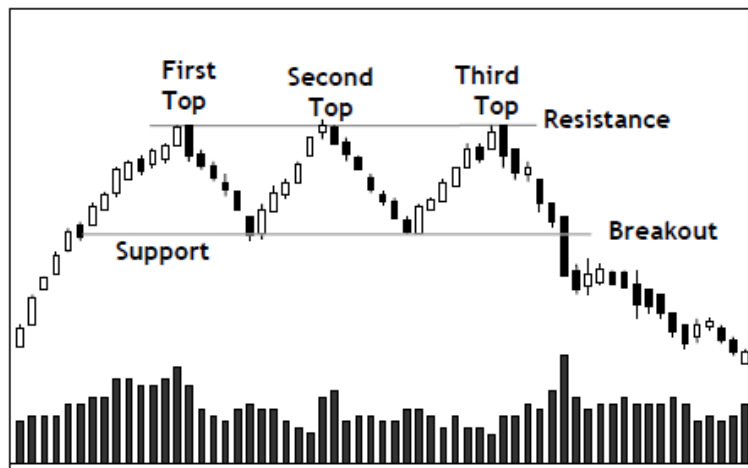
Risks: Valid formations have a minimum of five “bounces” at the Lower and Upper Trendlines. (this example has seven) Formations with fewer bounces may not provide the necessary movement to the downside.

Trading the Pattern: Traders should wait for the pattern to breakout below the Lower Trendline before entering a Bearish position. More successful breakouts occur when the pattern is accompanied by a receding volume trend inside the pattern.

Triple Top Pattern

The Triple Top Pattern is a bearish reversal pattern, occurring after an uptrend. Price action will create three defined “Tops” at a Resistance level. A secondary volume peak will accompany the stock as it breaks below the lower Support level of the pattern. Performance is very similar to a Double Top pattern.

Success Rate: 85%. Performance will improve if you confirm the breakout to the downside.



Duration: An average formation takes about 4 months to fully build, and break out to the downside.

Volume: Volume typically declines through the pattern, although some peaks should occur near the three Tops.

Risks: If a downside breakout does not occur after the Third Top, then this pattern could become a Bullish Rectangle formation.

Trading the Pattern: Aggressive traders may go short at the Third Top. Conservative traders will wait to confirm the downside Breakout after the Third Top.

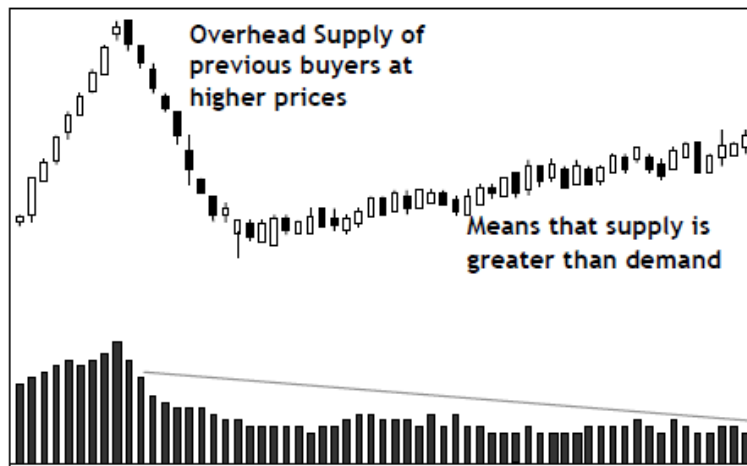
Observation Patterns

Overhead Supply

Overhead Supply is less of a chart pattern than it is a concept. Those that bought the stock on the uptrend, and held through the downtrend, now have buyer's remorse and will look to sell the stock at their first opportunity to break even. This creates a huge amount of "Overhead Supply" that prevents a stock from making any meaningful bullish advances until the Overhead Supply has been bought off.

Success Rate: No probability assigned.

Duration: Overhead Supply can stay in place for years, although more recent downtrends create stronger Overhead Supply.



Volume: Volume will generally decline as the "Smart Money" knows to avoid this stock, as the upward climb will be difficult.

Risks: If demand/sentiment is high enough, the Overhead Supply will be quickly absorbed and you may miss the move if you stop watching this stock.

Trading the Pattern: It will be very difficult for the stock to make upward progress with Overhead Supply in place. It's better to find a different Bullish candidate making new highs.